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# GCE A LEVEL MARKING SCHEME

**PREDICTED 2025**

**A LEVEL  
ECONOMICS - COMPONENT 2  
A520U20-1**

*PREDICTED PAPER 2 (HARD)*

**About this marking scheme**

The purpose of this marking scheme is to provide teachers, learners, and other interested parties, with an understanding of the assessment criteria used to assess this specific assessment.

This marking scheme reflects the criteria by which this assessment would be marked in a live series and has been prepared for predicted-paper use. It may not be possible, or appropriate, to capture every variation that a candidate may present in their responses within this marking scheme. Examiners are expected to use their professional judgement to credit alternative valid responses as instructed by the document.

Without the benefit of participation in an examiners' conference, teachers, learners and other users, may have different views on certain matters of detail or interpretation. Therefore, it is strongly recommended that this marking scheme is used alongside other guidance, such as published exemplar materials or Guidance for Teaching.

## GENERAL MARKING GUIDANCE

### Positive Marking

It should be remembered that learners are writing under examination conditions and credit should be given for what the learner writes, rather than adopting the approach of penalising him/her for any omissions. It should be possible for a very good response to achieve full marks and a very poor one to achieve zero marks. Marks should not be deducted for a less than perfect answer if it satisfies the criteria of the mark scheme, nor should marks be added as a consolation where they are not merited.

For each question there is a list of indicative content which suggests the range of economic concepts, theory, issues and arguments which might be included in learners' answers. This is not intended to be exhaustive and learners do not have to include all the indicative content to reach the highest level of the mark scheme.

The level-based mark schemes sub-divide the total mark to allocate to individual assessment objectives. These are shown in bands in the mark scheme. For each assessment objective a descriptor will indicate the different skills and qualities at the appropriate level. Learners' responses to questions are assessed against the relevant individual assessment objectives and they may achieve different bands within a single question. A mark will be awarded for each assessment objective targeted in the question and then totalled to give an overall mark for the question.

## GCE A LEVEL ECONOMICS - COMPONENT 2

### PREDICTED 2025 MARK SCHEME - HARD

#### Question 1

| 1    | 1                                                                                             | Using the data, explain why UK house prices have risen more quickly than average incomes over the past forty years. [5] |                                                                                                                         |
|------|-----------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------|
| Band | AO1                                                                                           | AO2                                                                                                                     | AO3                                                                                                                     |
| 2    |                                                                                               | <b>2 marks</b><br><b>Good application</b><br>Strong use of the figures and/or text to support the argument.             | <b>2 marks</b><br><b>Good analysis</b><br>Developed chain of reasoning explaining the issue identified in the question. |
| 1    | <b>1 mark</b><br><b>Knowledge</b><br>Clear knowledge of the relevant concept is demonstrated. | <b>1 mark</b><br><b>Limited application</b><br>Use of the data is limited with few direct references.                   | <b>1 mark</b><br><b>Limited analysis</b><br>Chain of reasoning is unconvincing or lacking in clarity.                   |
| 0    | <b>0 marks</b><br>No valid knowledge or understanding.                                        | <b>0 marks</b><br>No valid application.                                                                                 | <b>0 marks</b><br>No valid analysis.                                                                                    |

#### Indicative content

##### AO1

- House prices are determined by the interaction of demand and supply in the housing market.

##### AO2

- Figure 1 shows the price-to-earnings ratio has risen from around 3.2 to around 8.3, well above the long-run average of around 4.
- Figure 2: completions consistently below the 300,000 target — persistent supply shortfall.
- Text: Bank Rate averaged below 1% for most of 2009-2021, making mortgages cheaper.
- Help to Buy raised prices by around £16,000 on eligible homes (NAO estimate).

##### AO3

- Demand-side: real income growth, population growth, smaller household sizes and historically low interest rates all shifted demand to the right.
- Supply-side: planning restrictions, land banking, slow infrastructure delivery and builder concentration have kept new supply below demand growth.
- Because housing supply is price-inelastic in the short run, demand growth feeds disproportionately into prices rather than quantities.
- Government demand-side schemes like Help to Buy amplify the price effect without addressing the supply constraint.
- Expectations of further price rises encourage speculative purchases, reinforcing the trend.
- Allow any other valid chain of reasoning.

*Allow any other valid points.*

|          |          |                                                                                                                        |
|----------|----------|------------------------------------------------------------------------------------------------------------------------|
| <b>1</b> | <b>2</b> | <b>Using the data, explain why higher interest rates have reduced housing affordability for first-time buyers. [5]</b> |
|----------|----------|------------------------------------------------------------------------------------------------------------------------|

| <b>Band</b> | <b>AO2</b>                                                                                                | <b>AO3</b>                                                                                                                                                     |
|-------------|-----------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>3</b>    |                                                                                                           | <b>3 marks</b><br><b>Excellent analysis</b><br>Well-developed chain of reasoning that examines several factors linked to the issue identified in the question. |
| <b>2</b>    | <b>2 marks</b><br><b>Good application</b><br>Strong use of charts and/or text to support the points made. | <b>2 marks</b><br><b>Good analysis</b><br>Well-developed chain of reasoning explaining why the issue identified in the question holds.                         |
| <b>1</b>    | <b>1 mark</b><br><b>Limited application</b><br>Use of the data is limited with few direct references.     | <b>1 mark</b><br><b>Limited analysis</b><br>A chain of reasoning exists, but points are under-developed.                                                       |
| <b>0</b>    | <b>0 marks</b><br>No valid application.                                                                   | <b>0 marks</b><br>No valid analysis.                                                                                                                           |

### Indicative content

#### AO2

- Text: the average two-year fixed mortgage rate has risen above 5%, having been below 2% earlier in the decade.
- Figure 3: nominal wage growth of around 5-6%, outpaced by rent growth of 8-9% since 2022.
- 4.2 million households now spend more than 30% of disposable income on housing (housing stress threshold).

#### AO3

- Higher interest rates raise the monthly mortgage payment on any given loan, so the maximum loan a given household can afford — and hence the maximum price they can bid — falls.
- Because lender stress tests require affordability at higher rates, the effective loan-to-income ratio available to first-time buyers contracts, locking more households out of the owner-occupied market.
- Higher rates also raise the cost of saving a deposit in real terms, because house prices often fall more slowly than incomes and deposits take longer to accumulate.
- Landlords face higher buy-to-let mortgage costs and pass this through as rent increases, squeezing the savings rate of renters who are trying to accumulate a deposit.
- Allow any other valid chain of reasoning.

*Allow any other valid points.*

| <b>1</b>    | <b>3</b>                                                                                                                              | <b>Evaluate the effectiveness of government policies aimed at improving the affordability of owner-occupied housing in the UK. [10]</b> |                                                                                                                                                                                        |
|-------------|---------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Band</b> | <b>AO2</b>                                                                                                                            | <b>AO3</b>                                                                                                                              | <b>AO4</b>                                                                                                                                                                             |
| <b>3</b>    | <b>3 marks</b><br><b>Excellent application</b><br>The data is used well on both sides of the argument.                                | <b>3 marks</b><br><b>Excellent analysis</b><br>Well-developed and wider-ranging chains of reasoning on one side of the argument.        | <b>3-4 marks</b><br><b>Excellent evaluation</b><br>Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement. |
| <b>2</b>    | <b>2 marks</b><br><b>Good application</b><br>The data is well used on one side of the argument.                                       | <b>2 marks</b><br><b>Good analysis</b><br>Developed chains of reasoning on one side of the argument.                                    | <b>2 marks</b><br><b>Good evaluation</b><br>Developed counter-arguments or evaluative points.                                                                                          |
| <b>1</b>    | <b>1 mark</b><br><b>Limited application</b><br>Use of the data is less effective. Relevant data has been used but not well developed. | <b>1 mark</b><br><b>Limited analysis</b><br>Chains of reasoning exist but are under-developed.                                          | <b>1 mark</b><br><b>Limited evaluation</b><br>Counter-arguments are present but are under-developed.                                                                                   |
| <b>0</b>    | <b>0 marks</b><br>No valid application.                                                                                               | <b>0 marks</b><br>No valid analysis.                                                                                                    | <b>0 marks</b><br>No valid evaluation.                                                                                                                                                 |

### Indicative content

#### AO2

- Figure 1: affordability has deteriorated over 40 years despite multiple policy interventions.
- Help to Buy raised prices by around £16,000 on eligible homes — counter-productive for affordability.
- Completions have averaged 220k/year against a 300k target — supply-side policies have under-delivered.
- Rising interest rates have wiped out much of the affordability gains from past interventions.

#### AO3

- Demand-side policies such as Help to Buy and stamp duty holidays boost the purchasing power of individual buyers and can help those close to the margin of affordability.
- Supply-side policies (planning reform, Homes England, compulsory purchase powers) target the underlying cause of the affordability gap by raising the number of homes built.
- Targeted assistance (First Homes scheme, shared ownership) helps priority groups like key workers and first-time buyers.
- Macro-prudential policy (loan-to-income caps) prevents over-extension of credit and therefore bubble-type price rises.

#### AO4

- Demand-side schemes risk increasing prices because they do not increase supply — Help to Buy is a clear example.
- Supply-side reform faces political opposition from existing homeowners who benefit from rising prices (the 'homeowner electorate').
- Planning reform has been reversed or watered down after local opposition — the effectiveness of any given announcement is therefore uncertain.
- Macro-prudential restrictions reduce prices but also reduce access for first-time buyers without large deposits.

- Many affordability drivers are outside government control in the short run — interest rates, inward migration, demographic change.
- Housing affordability depends jointly on wages, prices and interest rates — a policy focused on just one lever is unlikely to be sufficient.
- Overall judgement at the top of the band: policies have had mixed success — demand-side schemes have often been counter-productive, supply-side ambitions have not been delivered. Without sustained supply-side reform, affordability is likely to continue deteriorating.

*Allow any other valid points.*

| <b>1</b>    | <b>4</b>                                                                                                                              | <b>Using the data, discuss the extent to which rent controls would be beneficial for low-income tenants. [10]</b>                |                                                                                                                                                                                        |
|-------------|---------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Band</b> | <b>AO2</b>                                                                                                                            | <b>AO3</b>                                                                                                                       | <b>AO4</b>                                                                                                                                                                             |
| <b>3</b>    | <b>3 marks</b><br><b>Excellent application</b><br>The data is used well on both sides of the argument.                                | <b>3 marks</b><br><b>Excellent analysis</b><br>Well-developed and wider-ranging chains of reasoning on one side of the argument. | <b>3-4 marks</b><br><b>Excellent evaluation</b><br>Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement. |
| <b>2</b>    | <b>2 marks</b><br><b>Good application</b><br>The data is well used on one side of the argument.                                       | <b>2 marks</b><br><b>Good analysis</b><br>Developed chains of reasoning on one side of the argument.                             | <b>2 marks</b><br><b>Good evaluation</b><br>Developed counter-arguments or evaluative points.                                                                                          |
| <b>1</b>    | <b>1 mark</b><br><b>Limited application</b><br>Use of the data is less effective. Relevant data has been used but not well developed. | <b>1 mark</b><br><b>Limited analysis</b><br>Chains of reasoning exist but are under-developed.                                   | <b>1 mark</b><br><b>Limited evaluation</b><br>Counter-arguments are present but are under-developed.                                                                                   |
| <b>0</b>    | <b>0 marks</b><br>No valid application.                                                                                               | <b>0 marks</b><br>No valid analysis.                                                                                             | <b>0 marks</b><br>No valid evaluation.                                                                                                                                                 |

### Indicative content

#### AO2

- Figure 3: rent growth has outpaced wage growth dramatically since 2022 (9%+ vs 5-6%).
- 4.2 million households in housing stress — low-income tenants disproportionately affected.
- Text: 'second-generation' rent controls (caps on increases) may be less damaging than first-generation absolute-price controls.
- Contested evidence base — some studies show reduced supply, others show protection for existing tenants.

#### AO3

- Rent controls directly cap the maximum rent landlords can charge, reducing the proportion of income that low-income tenants must spend on housing.
- Security of tenure provisions typically accompany rent controls, reducing the risk of eviction or arbitrary rent hikes, improving wellbeing.
- Search and moving costs are significant for tenants — rent controls reduce landlord bargaining power in existing tenancies where switching is costly.
- Well-designed controls (indexed to inflation, not absolute caps) preserve landlord returns and prevent supply contraction.

#### AO4

- Standard supply-and-demand analysis: a binding price ceiling below market equilibrium creates excess demand and a shortage of rental housing.
- Landlords respond by reducing investment in maintenance, quality deteriorates, and some exit the market — supply falls.
- In the long run new housing is built more slowly because expected returns are lower — total housing supply falls, pushing up uncontrolled rents and harming new tenants trying to enter.



- Evidence from Berlin (2020-21 rent cap, subsequently struck down), San Francisco (Diamond et al. studies) and New York shows supply contractions of 15-25% in some estimates.
- Tenants in controlled homes benefit; those outside are harmed — distributional effects can run counter to the intent.
- Alternatives (housing benefit, social housebuilding) may achieve similar distributional effects without the supply-side damage.
- Overall judgement: rent controls help incumbent low-income tenants in the short run but are likely to reduce the total supply of rental housing over time, hurting future low-income renters. The distributional effect is ambiguous over the long run and much better-targeted alternatives exist.

*Allow any other valid points.*

| <b>1</b>    | <b>5</b>                                                                                                                              | <b>Using the data, discuss whether increasing housing supply is the best way to solve the UK housing crisis. [10]</b>            |                                                                                                                                                                                        |  |
|-------------|---------------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--|
| <b>Band</b> | <b>AO2</b>                                                                                                                            | <b>AO3</b>                                                                                                                       | <b>AO4</b>                                                                                                                                                                             |  |
| <b>3</b>    | <b>3 marks</b><br><b>Excellent application</b><br>The data is used well on both sides of the argument.                                | <b>3 marks</b><br><b>Excellent analysis</b><br>Well-developed and wider-ranging chains of reasoning on one side of the argument. | <b>3-4 marks</b><br><b>Excellent evaluation</b><br>Well-developed counter-arguments and evaluative points. Answers at the top of the band will have a well-reasoned overall judgement. |  |
| <b>2</b>    | <b>2 marks</b><br><b>Good application</b><br>The data is well used on one side of the argument.                                       | <b>2 marks</b><br><b>Good analysis</b><br>Developed chains of reasoning on one side of the argument.                             | <b>2 marks</b><br><b>Good evaluation</b><br>Developed counter-arguments or evaluative points.                                                                                          |  |
| <b>1</b>    | <b>1 mark</b><br><b>Limited application</b><br>Use of the data is less effective. Relevant data has been used but not well developed. | <b>1 mark</b><br><b>Limited analysis</b><br>Chains of reasoning exist but are under-developed.                                   | <b>1 mark</b><br><b>Limited evaluation</b><br>Counter-arguments are present but are under-developed.                                                                                   |  |
| <b>0</b>    | <b>0 marks</b><br>No valid application.                                                                                               | <b>0 marks</b><br>No valid analysis.                                                                                             | <b>0 marks</b><br>No valid evaluation.                                                                                                                                                 |  |

### Indicative content

#### AO2

- Figure 2: completions have averaged 220k/year against a 300k target — a clear supply shortfall.
- Figure 1: the price-to-earnings ratio has risen from 3.2 to 8.3 over four decades — only partly reversible without more housing.
- Text: ratio is over 12× earnings in London/SE — regional imbalance concentrated where supply is most constrained.
- Text: supply-side reform faces significant political opposition from existing homeowners.

#### AO3

- Since the long-run price elasticity of housing supply in the UK is low, a large and sustained increase in construction is needed to reduce real prices materially.
- Raising housebuilding in areas where demand is highest (South East, cities) directly narrows the price gap between rich and poor regions.
- Higher supply also reduces rents, which benefits low-income tenants most.
- Planning reform reduces land-hoarding and unlocks urban brownfield sites, lowering the marginal cost of development.

#### AO4

- Supply-side reform has been repeatedly attempted and politically reversed — so even if the right policy, it may not be a feasible one.
- Even a rapid increase in completions takes years to affect prices because the stock of housing is huge relative to annual flow; short-run relief is limited.
- Other policies also affect affordability: macro-prudential regulation of mortgage lending, stamp duty reform, rent controls, housing benefit, devolution of planning — none alone is sufficient.
- Demand-side drivers (migration, household size, interest rates) are not addressed by supply-side reform.

- Infrastructure capacity (transport, schools, hospitals) must expand alongside housing, which implies a broader regional investment policy.
- In regions of low demand (parts of the North East), building more homes would not address local affordability because the binding constraint there is income, not housing supply.
- Overall judgement at the top of the band: increasing supply is likely the most important single lever but is not sufficient on its own — it needs to be combined with demand-side and regional policy to tackle the full scope of the housing crisis.

*Allow any other valid points.*

## Question 2

|   |   |                                                                                                                   |
|---|---|-------------------------------------------------------------------------------------------------------------------|
| 2 | 1 | Using the data, outline the characteristics of monopsony power shown in the UK labour market for gig workers. [5] |
|---|---|-------------------------------------------------------------------------------------------------------------------|

| Band | AO1                                                                                                                                          | AO2                                                                                                                                       |
|------|----------------------------------------------------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------------------------------------------------|
| 3    |                                                                                                                                              | <b>3 marks</b><br><b>Excellent application</b><br>Good use of both examples / figures to illustrate the features of the market structure. |
| 2    | <b>2 marks</b><br><b>Good knowledge</b><br>Comprehensive understanding of the characteristics of the market structure.                       | <b>2 marks</b><br><b>Good application</b><br>Good use of one of the examples to illustrate the features of the market structure.          |
| 1    | <b>1 mark</b><br><b>Limited knowledge</b><br>Understanding of the market structure is superficial, incomplete or contains some inaccuracies. | <b>1 mark</b><br><b>Limited application</b><br>Data references are superficial.                                                           |
| 0    | <b>0 marks</b><br>No valid knowledge or understanding.                                                                                       | <b>0 marks</b><br>No valid application.                                                                                                   |

### Indicative content

#### AO1

- Monopsony: a market with a single or dominant buyer, or with buyers powerful enough to set prices rather than take them.
- In a labour market: a firm that faces an upward-sloping labour supply curve and must raise wages to attract extra workers.

#### AO2

- Text: 'platforms typically set the price of each ride or delivery unilaterally, and individual workers have no realistic ability to negotiate' — price-setting power.
- Text: switching between platforms is costly (vehicle checks, training, reputation scores) — frictions which limit outside options and strengthen buyer power.
- Text: workers effectively face a small number of dominant buyers for their labour — classic monopsony.
- Figure 2: real wages have grown slower than labour productivity — consistent with employer wage-setting power.
- Supreme Court's 2021 ruling on Uber implies workers had been earning below the statutory minimum — a feature of monopsony power.

*Allow any other valid points.*

|   |   |                                                                                         |
|---|---|-----------------------------------------------------------------------------------------|
| 2 | 2 | Calculate MCL at each level of employment and identify the profit-maximising level. [7] |
|---|---|-----------------------------------------------------------------------------------------|

| Band | AO1                                                                                                                          | AO2                                                                                                                                                                                                  | AO3                                                                                                                                                                                                 |
|------|------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| 3    |                                                                                                                              | <b>3 marks</b><br><b>Excellent application</b><br>Use of the data is comprehensive displaying all calculated values correctly.                                                                       | <b>3 marks</b><br><b>Excellent analysis</b><br>Well-developed chain of reasoning explaining the output / employment at which the objective is achieved.                                             |
| 2    |                                                                                                                              | <b>2 marks</b><br><b>Good application</b><br>Strong use of data with either the revenue-side or the cost-side schedule calculated accurately. Or calculated correctly in units rather than per unit. | <b>2 marks</b><br><b>Good analysis</b><br>Developed chain of reasoning showing how the optimal level of output / employment is determined. Some parts of the explanation are incomplete or unclear. |
| 1    | <b>1 mark</b><br><b>Knowledge</b><br>Knowledge of the relevant profit-maximisation / employment / output condition is shown. | <b>1 mark</b><br><b>Limited application</b><br>Use of the data is limited with significant inaccuracies in the calculations.                                                                         | <b>1 mark</b><br><b>Limited analysis</b><br>Chain of reasoning is unconvincing or lacking in clarity.                                                                                               |
| 0    | <b>0 marks</b><br>No valid knowledge or understanding.                                                                       | <b>0 marks</b><br>No valid application.                                                                                                                                                              | <b>0 marks</b><br>No valid analysis.                                                                                                                                                                |

### Indicative content

#### AO1

- A profit-maximising monopsonist hires labour up to the point at which  $MRP = MCL$ , and then pays the wage from the supply curve at that level of employment.

#### AO2

- Total wage bill (£/hr): 0, 90, 200, 330, 480, 650, 840, 1050.
- MCL per block of 10 workers (£/hr): —, 90, 110, 130, 150, 170, 190, 210.
- MCL per extra worker (£/hr): —, 9, 11, 13, 15, 17, 19, 21.
- MRP from the table (£/hr per extra worker): —, 18, 16, 14, 12, 10, 8, 6.
- For correctly calculating MCL in units of 10: AO2: 2
- For one correctly calculated: AO2: 1

#### AO3

- Profit-maximising employment is the highest Q at which  $MRP \geq MCL$ .
- At  $Q=30$ ,  $MRP=14$  and  $MCL=13 \rightarrow$  still adds £1 of profit per worker.
- At  $Q=40$ ,  $MRP=12$  and  $MCL=15 \rightarrow$  last block reduces profit.
- Therefore the monopsonist hires  $Q=30$  workers.
- Wage paid is £11/hr (the wage at which 30 workers are willing to supply labour, from the supply schedule).
- Note that under perfect competition the market would clear at  $Q \approx 40$  and a wage equal to MRP — the monopsonist hires fewer workers and pays a lower wage than the competitive benchmark, creating monopsonistic exploitation of the gap between w and MRP.

Allow any other valid points.

| <b>2</b>    | <b>3</b>                                                                                                                                                              | <b>Using a labour market diagram, evaluate the effects on employment and wages of imposing a binding minimum wage in a monopsonistic labour market. [10]</b> |                                                                                                                       |                                                                                                                                            |
|-------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Band</b> | <b>AO1</b>                                                                                                                                                            | <b>AO2</b>                                                                                                                                                   | <b>AO3</b>                                                                                                            | <b>AO4</b>                                                                                                                                 |
| <b>3</b>    | <b>3 marks</b><br><b>Excellent knowledge</b><br>An accurate costs and revenue diagram is drawn showing both required shifts clearly.                                  |                                                                                                                                                              |                                                                                                                       | <b>3 marks</b><br><b>Excellent evaluation</b><br>Impact on profits is fully discussed with a judgement as to whether profits rise or fall. |
| <b>2</b>    | <b>2 marks</b><br><b>Good knowledge</b><br>An accurate costs and revenue diagram is drawn correctly showing one of the two required shifts, or both with some errors. | <b>2 marks</b><br><b>Good application</b><br>The case is used to indicate how both changes arise.                                                            | <b>2 marks</b><br><b>Good analysis</b><br>Good chain of reasoning explaining the net effect on profits.               | <b>2 marks</b><br><b>Good evaluation</b><br>The answer has developed counter-arguments or evaluative points.                               |
| <b>1</b>    | <b>1 mark</b><br><b>Limited knowledge</b><br>A costs and revenue diagram is drawn but with significant errors.                                                        | <b>1 mark</b><br><b>Limited application</b><br>The case is used to indicate how the change in demand or costs arises, but weakly.                            | <b>1 mark</b><br><b>Limited analysis</b><br>Chain of reasoning is less well-developed; link to profits is less clear. | <b>1 mark</b><br><b>Limited evaluation</b><br>Counter-arguments are present but lack development.                                          |
| <b>0</b>    | <b>0 marks</b><br>No valid knowledge or understanding.                                                                                                                | <b>0 marks</b><br>No valid application.                                                                                                                      | <b>0 marks</b><br>No valid analysis.                                                                                  | <b>0 marks</b><br>No valid evaluation.                                                                                                     |

### Indicative content

#### AO1

- Correct monopsony labour market diagram showing  $S(=AC \text{ of labour})$ ,  $MCL$  above  $S$ ,  $MRP=D$ .
- Pre-minimum: equilibrium at  $Q_m$  where  $MRP=MCL$ , wage  $W_m$  read off  $S$  below  $MRP$ .
- Minimum wage  $W^*$  imposed above  $W_m$  flattens the  $MCL$  curve at  $W^*$  up to where it meets  $S$ ; the effective  $MCL$  is now constant at  $W^*$  and then kinked upwards along the old  $MCL$ .

#### AO2

- The National Living Wage rose to £11.44/hr in April 2024 with the Low Pay Commission targeting two-thirds of median hourly earnings.
- 2021 Supreme Court Uber ruling entitles gig workers to minimum wage — making the analysis directly applicable.
- Text: 'minimum wage has raised incomes of the lowest-paid workers without causing significant unemployment — exactly what standard theory predicts under monopsony'.

#### AO3

- In a monopsonistic market, imposing a minimum wage  $W^*$  between  $W_m$  and the perfectly-competitive wage  $W_c$  raises both wages AND employment: wages rise because firms must now pay at least  $W^*$ ; employment rises because the kinked  $MCL$  is flat at  $W^*$  so the firm hires up to where  $MRP = W^*$ .
- This contrasts with a competitive labour market, where a binding minimum wage reduces employment.
- Monopsonistic exploitation (the gap between  $MRP$  and wage) is reduced or eliminated.

#### AO4

- If  $W^*$  is set too high (above  $W_c$ ), employment falls because  $MRP < W^*$  for some workers — the standard competitive analysis applies beyond that point.

- Firms can respond over time by automating tasks previously done by low-paid workers, raising long-run unemployment — effectiveness depends on the pace of technical substitution.
- Gig platforms may restructure: reclassify workers, change payment structures, use algorithmic management to extract equivalent rents in other ways.
- Minimum wage only bites for monopsonists where workers are below statutory protection — high-wage gig workers or platform 'stars' unaffected.
- Regional variation: a single national minimum wage may bind more strongly in low-wage regions, raising unemployment risk there.
- Empirical evidence from UK minimum wage studies (Manning, Dickens, CEP) generally supports the monopsony prediction — modest employment effects, meaningful wage effects — for the values imposed so far.
- Overall judgement at the top of the band: in a genuinely monopsonistic labour market a well-calibrated minimum wage raises both wages and employment, but effectiveness depends on setting the rate below the competitive equilibrium and on the speed of automation.

*Allow any other valid points.*

| <b>2</b>    | <b>4</b>                                                                                             | <b>Evaluate the view that trade unions always cause unemployment. [7]</b>                                       |                                                                                                                    |
|-------------|------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------|
| <b>Band</b> | <b>AO1</b>                                                                                           | <b>AO3</b>                                                                                                      | <b>AO4</b>                                                                                                         |
| <b>3</b>    |                                                                                                      |                                                                                                                 | <b>3 marks</b><br><b>Excellent evaluation</b><br>Strong evaluation which forms a clear judgement on the statement. |
| <b>2</b>    | <b>2 marks</b><br><b>Good knowledge</b><br>Clear understanding of the relevant concept is shown.     | <b>2 marks</b><br><b>Good analysis</b><br>Clear chain of reasoning supporting the view in the question.         | <b>2 marks</b><br><b>Good evaluation</b><br>Developed counter-arguments or evaluative points.                      |
| <b>1</b>    | <b>1 mark</b><br><b>Limited knowledge</b><br>Partial understanding of the relevant concept is shown. | <b>1 mark</b><br><b>Limited analysis</b><br>The chain of reasoning lacks clarity or detail and is unconvincing. | <b>1 mark</b><br><b>Limited evaluation</b><br>Counter-arguments are present but lack development.                  |
| <b>0</b>    | <b>0 marks</b><br>No valid knowledge or understanding.                                               | <b>0 marks</b><br>No valid analysis.                                                                            | <b>0 marks</b><br>No valid evaluation.                                                                             |

### Indicative content

#### AO1

- Trade union: an organisation of workers that bargains collectively with employers over wages and conditions.
- In the standard competitive labour-market diagram, a union-imposed wage above equilibrium reduces employment.

#### AO3

- In a perfectly competitive labour market, a union wage above the market-clearing level reduces the quantity of labour demanded, creating union-induced unemployment.
- The higher wage also attracts more workers wanting jobs at that rate — excess supply of labour, queuing for unionised jobs.
- Product-market substitution: firms facing higher labour costs may substitute capital for labour, reducing long-run employment.

#### AO4

- In a monopsonistic market, unions acting as a counter-monopoly can raise wages AND employment simultaneously — the outcome depends on starting market structure.
- Trade unions can raise productivity by providing training, improving morale and reducing labour turnover (Freeman & Medoff 'two faces' literature) — offsetting or exceeding the wage rise.
- Unions bring worker information and grievances to management, reducing inefficiencies and conflict costs.
- Unions give workers voice and political representation, promoting long-run acceptance of economic change and reducing insider-outsider problems.
- Empirically, UK union membership has fallen from over 13 million in 1979 to under 6.5 million today, and unemployment has been historically low for most of this period — casting doubt on a simple causal link.
- In Nordic countries with very high union density, unemployment has not been systematically higher than in the low-density UK or US.
- Overall judgement: the claim that unions 'always' cause unemployment is too strong. The effect depends on market structure, the scope of bargaining, and the broader institutional environment.



*Allow any other valid points.*

| 2    | 5                                                                                                     | With reference to the data, discuss the extent to which the growth of the gig economy has reduced economic welfare in the UK. [11]    |                                                                                                                                                   |                                                                                                                                                                                |
|------|-------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Band | AO1                                                                                                   | AO2                                                                                                                                   | AO3                                                                                                                                               | AO4                                                                                                                                                                            |
| 3    |                                                                                                       |                                                                                                                                       | <b>3 marks</b><br><b>Excellent analysis</b><br>Well-developed explanation with a clear chain of reasoning linking directly to the question focus. | <b>3-4 marks</b><br><b>Excellent evaluation</b><br>Very well-developed counter-arguments and evaluative points, with a well-reasoned overall judgement at the top of the band. |
| 2    | <b>2 marks</b><br><b>Good knowledge</b><br>A clear knowledge of the relevant concept is demonstrated. | <b>2 marks</b><br><b>Good application</b><br>The answer is well contextualised, making use of the case on both sides of the argument. | <b>2 marks</b><br><b>Good analysis</b><br>Developed explanation of the central chain of reasoning but some aspects are unclear.                   | <b>2 marks</b><br><b>Good evaluation</b><br>The answer has developed counter-arguments or evaluative points.                                                                   |
| 1    | <b>1 mark</b><br><b>Limited knowledge</b><br>Some knowledge of the relevant concept is shown.         | <b>1 mark</b><br><b>Limited application</b><br>Some references to the context, but these are not well developed.                      | <b>1 mark</b><br><b>Limited analysis</b><br>Candidate offers a limited or only partially correct analysis.                                        | <b>1 mark</b><br><b>Limited evaluation</b><br>Counter-arguments are present, but none well developed.                                                                          |
| 0    | <b>0 marks</b><br>No valid knowledge or understanding.                                                | <b>0 marks</b><br>No valid application.                                                                                               | <b>0 marks</b><br>No valid analysis.                                                                                                              | <b>0 marks</b><br>No valid evaluation.                                                                                                                                         |

### Indicative content

#### AO1

- Economic welfare: net of social benefit and social cost. In a labour-market context, refers to producer and worker surplus, employment and living standards.

#### AO2

- Text: 4.4 million people in gig work, up from <400,000 in 2016 — huge expansion of the sector.
- Workers value flexibility; firms save employment costs and access on-demand labour.
- Supreme Court 2021 Uber ruling highlights that platforms were capturing rents that belonged to workers under UK law.
- Figure 2: real wage growth < labour productivity growth — consistent with employer rent extraction.
- Figure 1 labour schedule shows monopsonistic exploitation in platform-like labour markets.

#### AO3

- Gig work increases labour market flexibility — workers can fit earnings around caring, studying, or other work. This raises utility for many workers.
- Consumers benefit from lower-cost, faster delivery and on-demand transport.
- Firms benefit from avoiding fixed employment costs and accessing a larger on-demand workforce.
- The growth of gig platforms has raised total UK employment and output, expanding the production possibility frontier in services.

#### AO4

- Platform monopsony allows platforms to set prices unilaterally, extracting surplus from workers who cannot easily switch (high frictions).

- Gig workers lack the employment protections (minimum wage, sick pay, holiday pay, pensions) available to employees, which shifts risk onto the worker and reduces their welfare.
- The apparent wage rate often excludes unpaid waiting time, equipment costs (vehicle, fuel) and insurance, so headline pay overstates welfare gains.
- Classification disputes impose legal costs and uncertainty on both sides.
- Benefits to consumers (faster/cheaper delivery) may come at the expense of traditional workers in restaurants, minicabs and couriers — the welfare effect is distributional as well as aggregate.
- Environmental externalities: gig food delivery has been associated with rising single-use packaging and urban traffic congestion.
- Net welfare effect depends crucially on whether platforms pass value on to workers and consumers or extract it as monopsonistic rent. Recent regulatory steps (worker status, minimum pay) tend to shift surplus back towards workers.
- Overall judgement at the top of the band: the gig economy has raised welfare for consumers and for workers who value flexibility, but reduced welfare for workers who have become trapped in low-paid, insecure platform work. Net effect is mixed and depends on the regulatory response.

*Allow any other valid points.*

**AO Grid**

|              | <b>AO1</b> | <b>AO2</b> | <b>AO3</b> | <b>AO4</b> | <b>Total</b> |
|--------------|------------|------------|------------|------------|--------------|
| <b>1a</b>    | 1          | 2          | 2          |            | 5            |
| <b>1b</b>    |            | 2          | 3          |            | 5            |
| <b>1c</b>    |            | 3          | 3          | 4          | 10           |
| <b>1d</b>    |            | 3          | 3          | 4          | 10           |
| <b>1e</b>    |            | 3          | 3          | 4          | 10           |
| <b>2a</b>    | 2          | 3          |            |            | 5            |
| <b>2b</b>    | 1          | 3          | 3          |            | 7            |
| <b>2c</b>    | 3          | 2          | 2          | 3          | 10           |
| <b>2d</b>    | 2          |            | 2          | 3          | 7            |
| <b>2e</b>    | 2          | 2          | 3          | 4          | 11           |
| <b>Total</b> | <b>11</b>  | <b>23</b>  | <b>24</b>  | <b>22</b>  | <b>80</b>    |

*A520U20-1 EDUQAS GCE A Level Economics - Component 2 MS Predicted 2025 (HARD)*